Olist Customer Retention: Insights Memo

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Business question

Olist's customers rarely buy a second time. What is driving this, and what should the business do about it?

Headline numbers

- Revenue: 13.22M (Brazilian reais) across 96,478 delivered orders
- Average order value: 137.04
- Average review score: 4.09 out of 5
- Late delivery rate: 6.8% of orders
- Repeat rate: 3.0% (2,801 of 93,358 unique customers ordered more than once)

Findings

1. Almost every customer buys once and never returns

Finding: Only 3.0% of customers placed a second order. **So what:** Growth depends almost entirely on acquiring new customers, which is expensive. Even a small lift in repeat purchases would add revenue without extra acquisition cost.

2. Late deliveries badly damage customer satisfaction

Finding: Orders delivered on time average 4.29 stars; late orders average 2.27. **So what:** A late delivery wipes out roughly two points of customer satisfaction, and unhappy customers are unlikely to come back.

3. The longer the delay, the worse the review

Finding: Average review scores are 4.32 for orders arriving 8+ days early, 4.19 for 0-7 days early, 3.29 for 1-3 days late, 2.10 for 4-7 days late and 1.70 for 8+ days late. **So what:** Satisfaction drops sharply even with a short delay, so the fix has to cover small delays, not

just extreme ones.

4. Late deliveries are concentrated in Brazil's northeast

Finding: Late rates are highest in AL (21.4%), MA (17.4%) and SE (15.2%), against 6.8% overall. **So what:** The delivery problem is regional, so targeted fixes will be more efficient than company-wide ones.

5. Sales are concentrated in a few places and categories

Finding: São Paulo alone accounts for about 38% of revenue (5.07M of 13.22M). The top categories by revenue are health_beauty, watches_gifts and bed_bath_table. **So what:** Retention work in São Paulo and in the top categories has the largest revenue upside.

Recommendations

1. **Set realistic delivery estimates** in high-delay states, so customers are not promised dates the carriers cannot meet.
2. **Send proactive delay notifications** with a clear new date, so customers are not surprised.
3. **Review carrier and fulfilment performance** in AL, MA and SE, starting with the worst routes.
4. **Offer a recovery gesture after late orders**, such as a voucher on the next purchase, tested on a small group first.
5. **Track repeat rate by first-order delivery experience** as a standing KPI, to measure whether these changes work.

Limitations

- The data shows that late delivery is strongly linked to low reviews. It does not prove that late delivery is the only reason customers fail to return.
- The data covers 2016-2018, and the earliest and latest months have very few orders.
- Repeat rate is measured per unique customer across the whole period, with no cohort analysis.
- Revenue is the sum of item prices and excludes freight.